Deckers Outdoor Corporation (NYSE: DECK)

Crocs Inc. (NASDAQ: CROX)

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Target and Acquirer Company Profiles

Crocs Inc. (NSADAQ: CROX) and Deckers Outdoor Corporation (NYSE: DECK)

ACQUIRER: Deckers Inc. (NYSE: DECK)

Overview

- Founded in 1973, Deckers is a global designer, marketer, and distributor of footwear, apparel, and accessories
- Headquartered in Goleta, California, Deckers Brands operates 154 retail stores worldwide and prioritizes a direct-to-consumer strategy centered on e-commerce

Key Financials

Share Price	$FILL
52 Week Low – High	$93.72 - $223.98
Market Capitalization	$16,500.2M
Enterprise Value	$15,091.9M
EV/EBIDTA	10.7x
P/E	17.0x

Brands

TARGET: Crocs Inc. (NASDAQ: CROX)

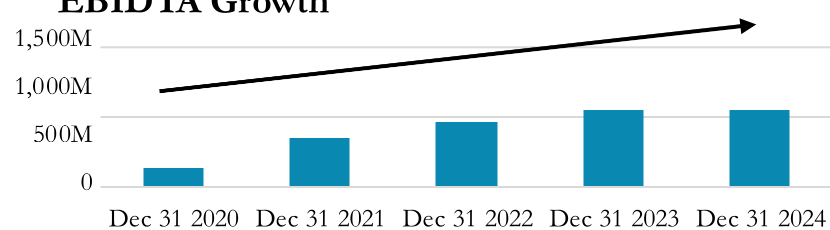
Overview

- Founded in 2002, Crocs Inc. is a world leader in casual footwear, most known for their iconic foam clogs
- Headquartered in Broomfield, Colorado, Crocs operates a global network of 715 company-owned retail stores

Key Financials

Share Price	$FILL
52 Week Low – High	$73.76 – $151.13
Market Capitalization	$4,232.3M
Enterprise Value	$5,805.3M
EV/EBIDTA	4.7x
P/E	18.8x

EBIDTA Growth



Industry Overview

Footwear Sector

Industry Overview

The Global Footwear Industry is a resilient, brand-driven industry with steady growth supported by rising consumer demand for athleisure, digital direct-to-consumer channels, and sustainability initiatives.

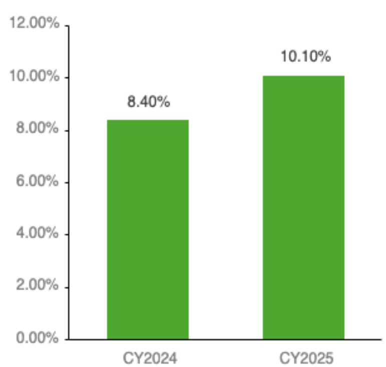
Iconic Design, **Iconic Style**, and **Iconic Feeling**

Deckers Outdoor Corporation is positioned as a hybrid of performance and lifestyle footwear.

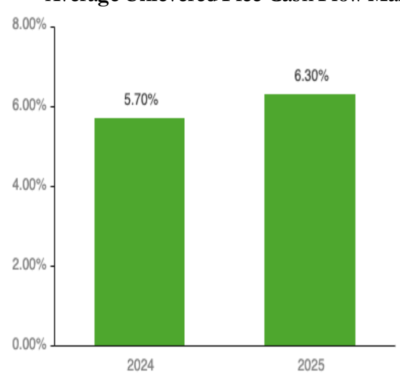
Rising demand for versatile, comfort-driven shoes uniquely positions Deckers and their brands.

This sector includes major players including Nike, Adidas, Steve Madden, and Birkenstock, who all target similar demographics (predominately in the U.S.), responding to consumer demands for sustainability and personalization.

Average Industry EBITDA Margin

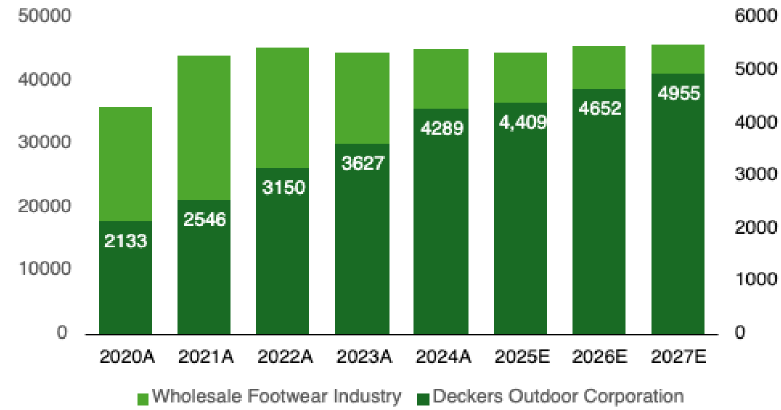


Average Unlevered Free Cash Flow Margin



Market Landscape

Wholesale Footwear Market Revenues VS Deckers Revenues (M US$)



Industry Drivers

Online Channels Driving Distribution Growth	**5.48%** CAGR driven by continued expansion in e-commerce footwear sales, supports leveraging strategies (online-exclusive deals & loyalty programs) to attract customers.
Rising Per Capita Disposable Income	As purchasing power rises, consumers have more financial flexibility, fueling consumer spending on premium and lifestyle footwear.
Athleisure, Casualization & Health Trends	Trends are driving demand for versatile, stylish footwear that works for everyday wear while supporting health and fitness activities.

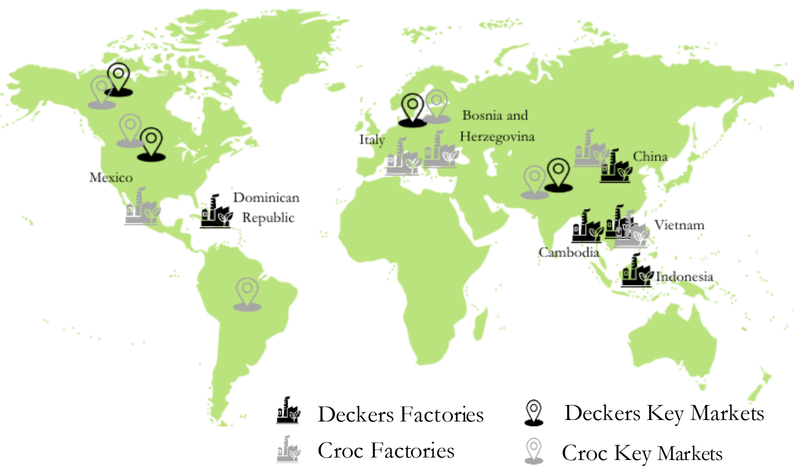
Source(s): Cap IQ, IBIS World, Mergent Online

Thesis I

Strategic Expansion and Product Diversification

Deckers is well positioned to capture larger segments in the footwear industry by further diversifying their products and accelerating their global growth.

Global Market Reach



Combined entity creates a denser, more diversified global network, transforming overlapping footprints into accelerated growth:

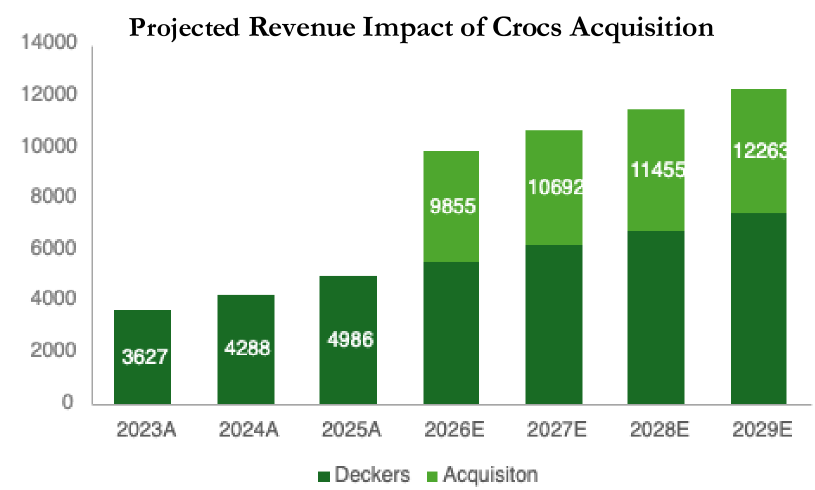
- Market Expansion: crocs provides immediate scale in Asia-Pacific and Latin America, filling Deckers' key geographic gaps.
- Supply Chain Resilience: combined manufacturing in Vietnam and China increases leverage, while Crocs' facilities in Bosnia and Mexico mitigate risks and diversify production.
- Distribution Power: unites Deckers' premium wholesale with Crocs' high-volume channels for expanded consumer reach.

Synergy Acceleration

Digital & DTC Leverage: with Crocs already deriving 45% of revenues from DTC and Deckers at 60%, the entity can accelerate digital adoption, optimize e-commerce platforms, and increase direct consumer engagement

Innovation & Product Extensions: Crocs' design expertise in mass-market casual comfort complements Deckers' premium innovation. Together, they can accelerate new product introductions and broaden target demographics.

Revenue Growth Projections



Source(s): Statista, Capital IQ, FactsSet

Thesis II

Consumer Relevance & Cultural Bridge

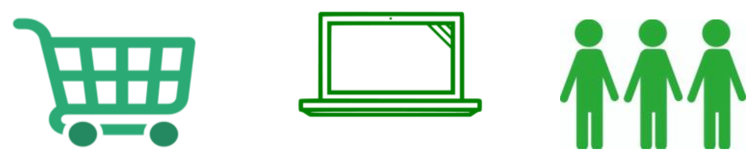
The combined portfolio creates an unbreakable cultural and seasonal footprint, capturing every major footwear occasion and consumer demographic.

Gen Z/Millennial Engagement

Crocs is a cultural icon with viral collaborations (Taco Bell, Balenciaga, Minecraft), while Hoka has rapidly become the "it" running shoe among younger consumers. Together, the brands dominate cultural relevance across lifestyle and performance footwear.

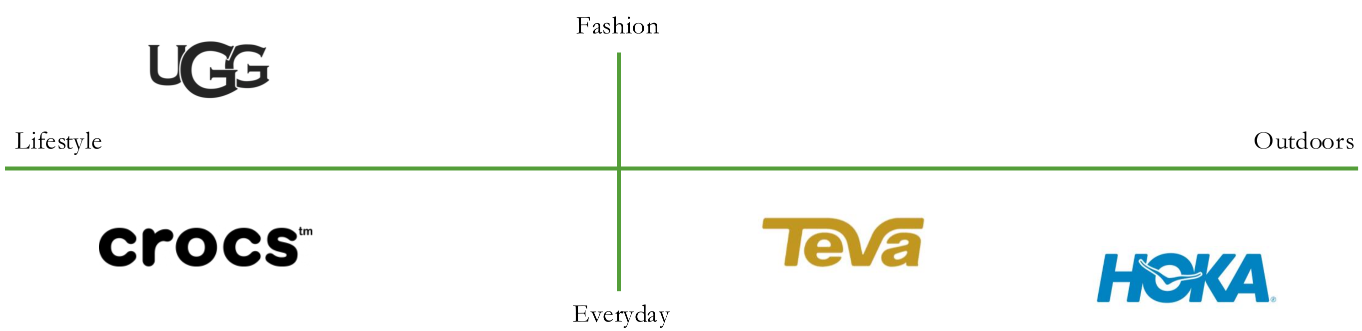
DTC & Digital Brand Ecosystem

This acquisition creates a data-powered ecosystem that will structurally enhance profitability. By integrating Deckers' ~50% DTC sales (driven by high-value performance consumers) with Crocs' ~40% DTC base of trend-focused Gen Z and Millennial audiences, the combined entity can leverage a unified database of tens of millions of consumers to enable cross-selling, de-risk product launches, and optimize marketing spend. This synergy transforms digital strengths into a sustainable competitive advantage focused on maximizing customer lifetime value.



Durability Against Fashion Cycles

This combined portfolio creates a defensible, holistic footwear ecosystem by strategically pairing Ugg (seasonal/premium comfort), Hoka (performance/athletic), Teva (outdoor/active casual), and Crocs (everyday lifestyle). This synergy ensures total occasion capture for the modern consumer's fluid daily life while maintaining year-round cultural relevance by perpetually engaging different audience segments. Most critically, the structure provides inherent stability, mitigating exposure to single-trend volatility or seasonal weather risks, as the strengths of one brand naturally offset the weaknesses of another, resulting in a diversified and resilient revenue model built for sustainable growth.



Risk & Mitigations

Strategic Innovation Mitigates Risk

A

Losing Crocs' creative independence

Combining Crocs under Deckers might cause Crocs to lose its innovative independence. It could alienate their loyal customer base, as they feel the company has lost its originality and uniqueness.

- **They could keep Crocs' management team and creative autonomy intact, letting it function as it is currently doing.**
- **Publicly position the the takeover as "Portfolio Expansion" so that people are not worried about Crocs' brand changing**

B

Crocs' core product is trend driven

Deckers might be more exposed to cyclicality since Crocs' demand is based on trends and it can oscillate – increasing cyclicality and unpredictability of Deckers' revenues

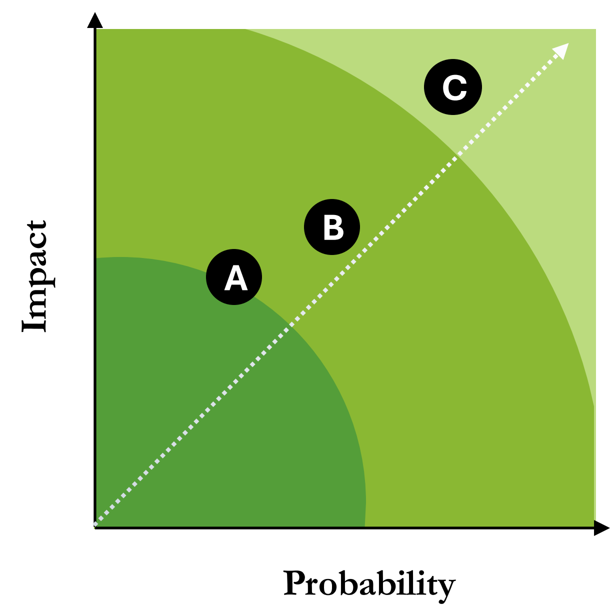
- **Use Hoka's innovation/R&D to expand Crocs' product pipeline**
- **Keep Crocs relevant through collaborations (luxury designers, celebrities etc.) to maintain hype**

C

Continued tariffs and trade tensions between US and others

Continued tariffs between US and other countries could could raise COGS, squeeze margins, and reduce deal synergies. It would continue to make the products more expensive, reducing affordability and demand, since both rely on Asian manufacturing

- **Pass through partial tariffs costs via pricing power – due to premium position and loyal customer base**
- **Extract more cost synergies in SG&A, logistics, and materials procurement to cushion margin hit from tariffs.**



Sources: Company Filings, Capital IQ

Deal Term Analysis

Financing Mix

Deckers should acquire Crocs using 25% Cash, 25% stock and 50% debt to finance the deal to maximize accretion and maintain its coverage and leverage ratios as close as possible to the status quo.

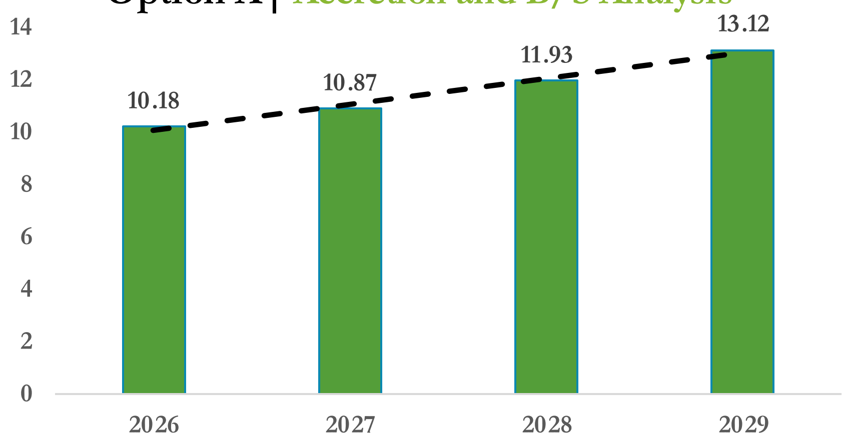
Deal Term Comparison | Term Analysis

Option A: 25/25/50 Split	Option B: 100% Equity
Debt Issued: $2855.89 **Cash Used: 1427.95** **Shares Issued: 12.84** **Provides higher accretion utilizing a more mixed amount of leverage, cash & equity financing providing lower acquisition risk**	**Debt Issued: 0** **Equity Used: 5711.79** **Shares Issued: 51.35 million** **Provides lower accretion however utilizes lower leverage and keeps more cash on hand, providing less acquisition risk**

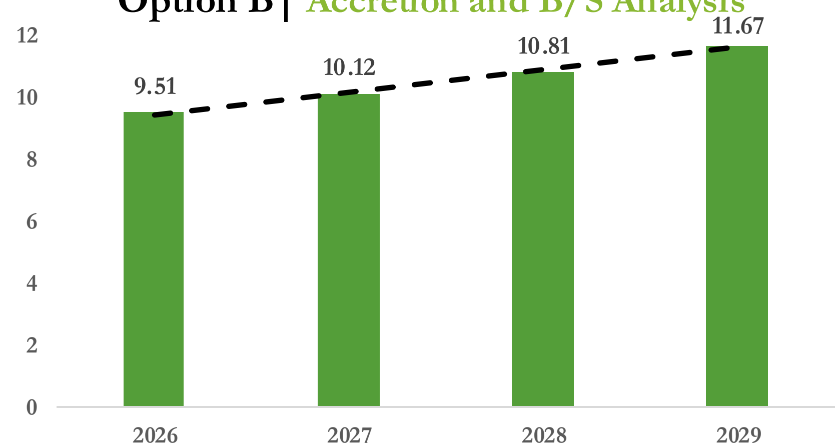
Divestiture

- Divestitures happen when there is a slow growth or redundant segment
- Crocs brings global scale in comfort and sandals, but creates overlap with Teva
- Divest Teva (and continue winding down Koolaburra) to simplify portfolio, reduce SG&A and recycle roughly $100 M in Debt Paydown
- Shift focus to HOKA, UGG & Crocs as 3 main pillars growing Deckers

Option A | Accretion and B/S Analysis



Option B | Accretion and B/S Analysis

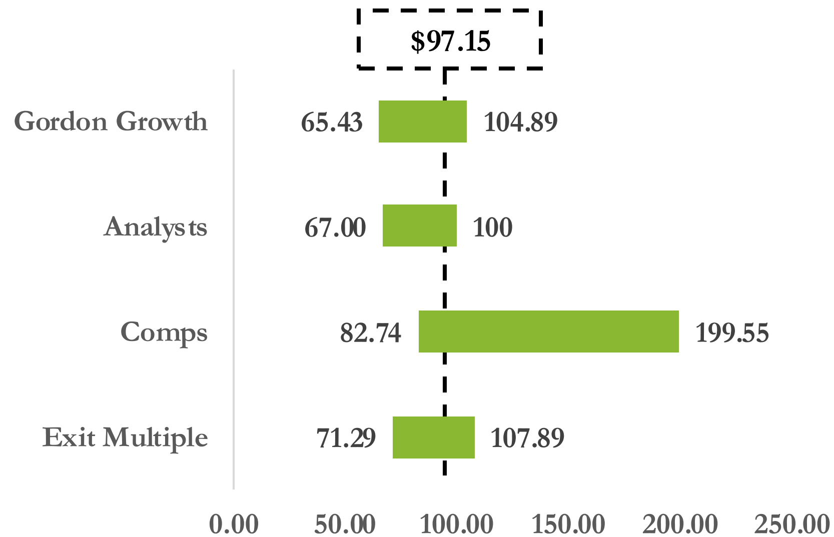


Source(s): CapitalIQ, FactSet, Pitchbook

Recommendation

Acquirer Valuation & Recommendation

Football Field Analysis



Weighted Average Target Share Price

Analysis		Implied Price	Weight
Terminal Value Multiple	$	89.74	35.0%
Gordon Growth Rate	$	82.89	35.0%
Comps	$	141.15	20.0%
Analyst Targets	$	85.00	10.0%
Weighted Average	$	97.15	100.0%

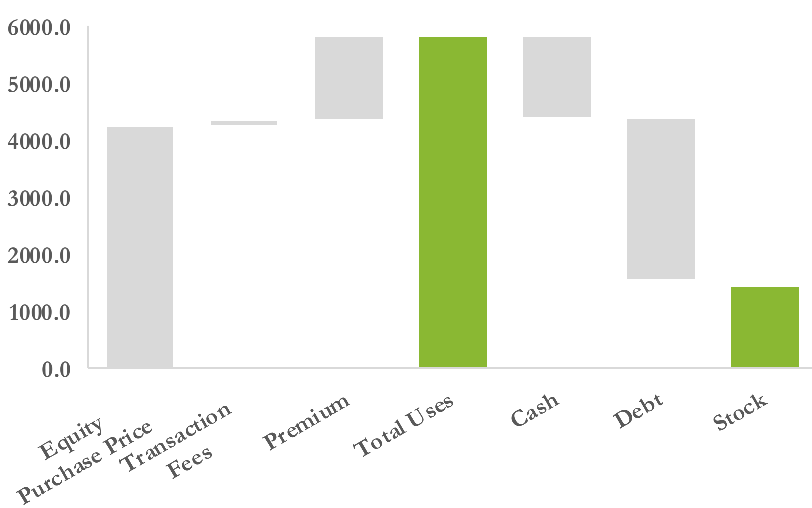
Target Share Price: **$97.15**

Target Upside: **25.37%**

Current Share Price: **$77.49**

Target Margin of Safety: **~20.2%**

Transaction Summary



Recommendation

We used a blend of **DCF, Comparable Company Analysis, and Analyst** consensus to reach a **BUY** recommendation

A majority of weightage was towards **implied valuation methods**, as Crocs is **undervalued** relative to the market

Our analysis leads concludes that Crocs is **undervalued** with a **target price of $97.15 USD,** and an implied **upside** of **25.37%**

Source(s): CapitalIQ, FactSet, Pitchbook

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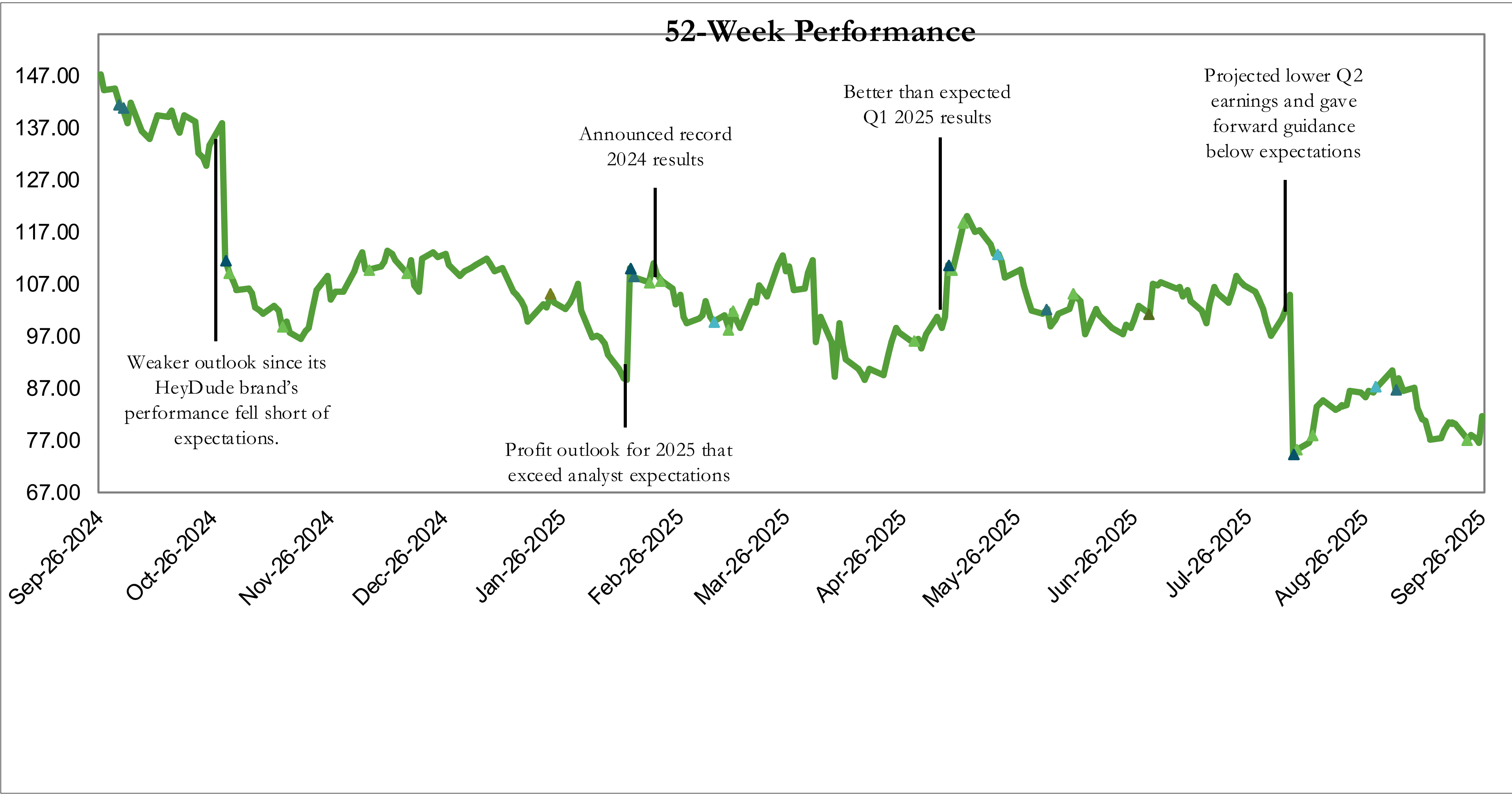
Source(s):

Appendix #1

Major Events Timeline



Source(s):CapitalIQ

Appendix #2

DCF Modelling Assumptions

Base Case	FY2020A	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Revenue Growth	n.a.	66.9%	53.7%	11.5%	3.5%	7.5%	5.5%	6.5%	6.0%	6.3%
Cost of Revenue as a % of Revenue	45.9%	38.6%	47.7%	44.2%	41.2%	40.6%	46.9%	46.8%	47.4%	48.9%
SG&A Expenses as a % of Revenue	35.7%	30.9%	26.1%	28.0%	31.5%	33.3%	34.9%	37.3%	39.2%	41.1%
R&D Expenses as a % of Revenue	0.0%	0.0%	0.5%	0.5%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%
Other OpEx as a % of Revenue	35.7%	30.9%	26.7%	28.5%	32.1%	34.0%	35.5%	37.8%	39.8%	41.7%
Implied Tax Rate	7.6%	2.7%	5.0%	2.1%	1.0%	1.4%	2.4%	1.7%	1.6%	1.8%
D&A as a % of Revenue	0.6%	0.4%	0.3%	0.3%	0.6%	0.6%	0.5%	0.5%	0.6%	0.5%
CAPEX as a % of Revenue	-3.0%	-2.4%	-2.9%	-2.9%	-1.7%	-1.7%	-2.3%	-2.1%	-1.9%	-2.0%
Debt growth rate		164.5%	162.6%	-23.9%	-13.8%	-14.9%	-27.7%	20.0%	-14.5%	-14.8%
Interest Expense as a % of Debt	-1.8%	-2.2%	-5.3%	-8.2%	-6.4%	0.1%	0.1%	0.1%	0.1%	0.1%
Debt to EBITDA	1.42x	1.39x	2.81x	1.81x	1.52x	1.29x	1.29x	1.69x	1.65x	1.66x

Source(s):

Appendix #3
Revenue & NWC Assumptions

DECKERS BRANDS

Base Case	FY2020A	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	1,386	2,313	3,555	3,962	4,102	4,409	4,652	4,955	5,253	5,581
% Growth		66.91%	53.67%	11.46%	3.53%	7.49%	5.51%	6.50%	6.01%	6.25%
Consolidated Sales	**1,386**	**2,313**	**3,555**	**3,962**	**4,102**	**4,409**	**4,652**	**4,955**	**5,253**	**5,581**
% Growth		66.9%	53.7%	11.5%	3.5%	7.5%	5.5%	6.5%	6.0%	6.3%

Base Case	FY2020A	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Net Working Capital	37	234	536	430	349	559	456	488	463	512
Change in Net Working Capital	**-**	**197**	**302**	**(107)**	**(81)**	**210**	**(103)**	**32**	**(25)**	**48**
Days	*365*	*365*	*365*	*365*	*365*	*365*	*365*	*365*	*365*	*365*

Base Case	FY2020A	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Consolidated Sales	1,386	2,313	3,555	3,962	4,102	4,307	4,501	4,681	4,845	5,581
Cost of Sales	636	893	1,695	1,752	1,692	1,750	2,113	2,189	2,296	2,731
Account Receivable	150	183	296	306	258	417	340	351	356	406
Turn Over	9.3x	12.7x	12.0x	13.0x	15.9x	12.6x	13.2x	13.3x	13.6x	13.7x
Days	39.4	28.8	30.3	28.2	22.9	29.0	27.6	27.4	26.8	26.6
Inventories	175	214	472	385	356	405	443	467	460	528
Turn Over	7.9x	10.8x	7.5x	10.3x	11.5x	10.6x	10.2x	10.0x	10.5x	10.6x
Days	46.1	33.7	48.4	35.5	31.7	34.3	35.9	36.4	34.7	34.5
Accounts Payable	113	162	231	261	265	263	327	330	353	423
Turn Over	5.6x	5.5x	7.3x	6.7x	6.4x	6.3x	6.5x	6.6x	6.5x	6.5x
Days	64.7	66.2	49.7	54.4	57.1	57.8	56.6	54.9	56.1	56.5
Net Working Capital	37	234	536	430	349	559	456	488	463	512
Change in Net Working Capital		**197**	**302**	**(107)**	**(81)**	**210**	**(103)**	**32**	**(25)**	**48**

Source(s):

Appendix #4
WACC Build-up

WACC Schedule	
Market Risk Premium	4.33%
Beta	1.81
Adjusted Market Risk Premium	7.84%
Add: Risk Free Rate of Return	4.16%
Cost of Equity	12.00%
Equity-to-Total-Capital Ratio	*51.90%*
Cost of Debt	5.55%
Corporate Tax Rate	21.00%
After-Tax Cost of Debt	4.39%
Target Debt-to-Total-Capital Ratio	*48.10%*
WACC	8.34%

Market Data	
Risk Free Rate	4.16%
USA Equity Risk Premium	4.33%
Corporate Tax Rate	21.00%

Source(s):

Appendix #5

DCF Part 1

Selected Financials - DCF Base Case - ($M)	FY2020A	FY2021A	FY2022A	FY2023A	FY2024A	1 FY2025E	2 FY2026E	3 Forecasted FY2027E	4 FY2028E	5 FY2029E
Revenue	1,386.0	2,313.4	3,555.0	3,962.3	4,102.1	4,307.2	4,501.0	4,681.1	4,844.9	5,581.0
COGS & Other Expenses	(636.0)	(893.2)	(1,694.7)	(1,752.3)	(1,691.9)	(1,750.5)	(2,113.0)	(2,189.0)	(2,296.4)	(2,731.2)
EBITDA	263.3	713.0	922.0	1,091.8	1,119.9	1,121.2	810.4	744.8	648.5	551.8
D&A	7.9	8.7	9.6	12.9	26.2	27.3	21.0	24.2	27.3	30.4
EBIT	255.4	704.3	912.4	1,078.9	1,093.7	1,093.9	789.4	720.7	621.2	521.4
Taxes	(105.9)	(61.8)	(178.3)	(83.7)	(39.5)	(60.1)	(106.7)	(80.1)	(78.0)	(98.9)
NOPAT	149.5	642.5	734.1	995.2	1,054.2	1,033.8	682.6	640.6	543.1	422.5
(+) D&A	7.9	8.7	9.6	12.9	26.2	27.3	21.0	24.2	27.3	30.4
(-) Change in NWC	-	197.0	302.4	(106.6)	(80.7)	210.1	(103.4)	32.4	(24.8)	48.3
(-) CAPEX	(42.0)	(55.9)	(104.2)	(115.6)	(69.3)	(71.3)	(103.4)	(100.2)	(94.3)	(112.2)
Unlevered Free Cash Flow	115.4	398.3	337.1	999.1	1,091.8	779.7	703.6	532.2	501.0	292.5
Discount Factor						0.92	0.85	0.79	0.73	0.67
Discounted UFCF						719.7	599.4	418.5	363.7	196.0

Terminal Value - Gordon Growth	
Terminal Growth Rate	2.75%
Terminal Year UFCF	300.6
Discount Rate	8.34%
Terminal Value	5,376.7
Time Period	5
PV of Terminal Value	3,602.2

Terminal Value - Exit Multiple	
Exit Multiple	10.47x
Terminal Year EBITDA	567.0
Discount Rate	8.34%
Terminal Value	5,935.2
Time Period	5
PV of Terminal Value	3,976.4

Terminal Value	
Gordon Growth	3,602.2
Exit Multiple	3,976.4
Average	3,789.3

Source(s):

Appendix #6

DCF Part 2

Implied Enterprise Value, Equity Value, and Share Price

Implied Enterprise Value (GG)	
PV of Projected	2,297.2
as a % of TEV	38.9%
PV of Terminal	3,602.2
as a % of TEV	61.1%
Enterprise Value	5,899.4

Implied Enterprise Value (EM)	
PV of Projected	2,297.2
as a % of TEV	36.6%
PV of Terminal	3,976.4
as a % of TEV	63.4%
Enterprise Value	6,273.6

Combined Implied Enterprise Value	
PV of Projected	2,297.2
as a % of TEV	37.7%
PV of Terminal	3,789.3
as a % of TEV	62.3%
Enterprise Value	6,086.5

Implied Enterprise to Equity Value Bridge	
Enterprise Value	5,899.4
(+) Cash & Cash Eqv	401.2
(-) Debt	1,773.6
(-) Non-Controlling Interests	0.0
(-) Underfunded Pensions	0.0
(-) Preferred Shares	0.0
Implied Equity Value	4,527.0

Implied Enterprise to Equity Value Bridge	
Enterprise Value	6,273.6
(+) Cash & Cash Eqv	401.2
(-) Debt	1,773.6
(-) Non-Controlling Interests	0.0
(-) Underfunded Pensions	0.0
(-) Preferred Shares	0.0
Implied Equity Value	4,901.2

Combined Implied Enterprise to Equity Value Bridge	
Enterprise Value	6,086.5
(+) Cash & Cash Eqv	401.2
(-) Debt	1,773.6
(-) Non-Controlling Interests	0.0
(-) Underfunded Pensions	0.0
(-) Preferred Shares	0.0
Implied Equity Value	4,714.1

Implied Share Price (GG)	
Implied Equity Value	4,527.0
Shares Outstanding	55
Implied Share Price	82.89
Current Share Price	77.49
Implied Upside	7.0%

Implied Share Price (EM)	
Implied Equity Value	4,901.2
Shares Outstanding	55
Implied Share Price	89.74
Current Share Price	77.49
Implied Upside	15.8%

Combined Implied Share Price	
Implied Equity Value	4,714.1
Shares Outstanding	55
Implied Share Price	86.31
Current Share Price	77.49
Implied Upside	11.4%

Source(s):

Appendix #7
DCF Part 3 + Analyst Targets

DECKERS BRANDS

Basic Outputs and Sensitivities

		WACC				
	$86.31	7.34%	7.84%	8.34%	8.84%	9.34%
Terminal Growth Rate	3.15%	$ 102.44	$ 95.19	$ 89.13	$ 83.96	$ 79.46
	2.95%	$ 100.17	$ 93.39	$ 87.67	$ 82.75	$ 78.45
	2.75%	$ 98.10	$ 91.73	$ 86.31	$ 81.62	$ 77.49
	2.50%	$ 95.73	$ 89.82	$ 84.74	$ 80.30	$ 76.36
	2.25%	$ 93.59	$ 88.07	$ 83.28	$ 79.07	$ 75.31

		WACC				
	$86.31	7.34%	7.84%	8.34%	8.84%	9.34%
Exit Multiple	12.47x	$ 105.39	$ 98.86	$ 93.28	$ 88.42	$ 84.14
	11.47x	$ 101.75	$ 95.30	$ 89.80	$ 85.02	$ 80.82
	10.47x	$ 98.11	$ 91.74	$ 86.32	$ 81.63	$ 77.50
	9.47x	$ 94.46	$ 88.18	$ 82.84	$ 78.23	$ 74.17
	8.47x	$ 90.82	$ 84.62	$ 79.37	$ 74.83	$ 70.85

Name	Target Price
Piper Sandler	75
UBS	85
Stifel Nicolaus	85
Needham	100
Goldman Sachs	67
BoA	99
Barclas	81
Min	67
Median	85
Max	100

Source(s):

Appendix #8

Comparable Company Analysis Part 1

Comparable Companies	Ticker	LTM	FY2025	FY2026	LTM	FY2025	FY2026
Wolverine World Wide	WWW-US	19.30x	17.07x	14.93x	1.49x	1.52x	1.60x
Steve Madden	SHOO-US	12.23x	15.01x	11.56x	1.23x	1.04x	0.95x
VF	VFC-US	9.95x	11.57x	10.64x	1.14x	1.04x	1.01x
Deckers Outdoor	DECK-US	10.23x	12.20x	11.32x	2.97x	2.74x	2.54x
NIKE B	NKE-US	22.10x	28.67x	21.47x	1.81x	2.27x	2.16x
Birkenstock Holding	BIRK-US	11.18x	12.30x	10.72x	4.42x	3.91x	3.42x
adidas	ADS-DE	-	10.78x	8.61x	1.51x	1.40x	1.29x
Mean		14.17x	15.37x	12.75x	2.08x	1.99x	1.85x
75th Percentile		17.54x	16.04x	13.25x	2.39x	2.51x	2.35x
Median		**11.71x**	**12.30x**	**11.32x**	**1.51x**	**1.52x**	**1.60x**
25th Percentile		10.47x	11.89x	10.68x	1.36x	1.22x	1.15x

		EV/EBITDA			EV/Revenue		
Company	Ticker	LTM	FY2025	FY2026	LTM	FY2025	FY2026
Crocs	CROX-US	5.42x	5.99x		1.41x	1.39x	1.37x

Source(s):

Appendix #9
Comparable Company Analysis Part 2

Implied Entreprise Value	EV/EBITDA
EBITDA	1092.80
75th Percentile	19162.44
Median	**12791.22**
25th Percentile	11438.88

Implied Entreprise Value	EV/Revenue
Revenue	4102.10
75th Percentile	9797.89
Median	**6194.17**
25th Percentile	5579.81

Company Info (As of September 24th)	
Cash & Cash Equivalents	180.50
Total Debt	1701.30
Preferred Stock	0.00
Minority Interest	0.00
EBITDA	1092.80
Shares Outstanding	56.48
Price at close	77.49
Total Revenue	4102.10

Implied Equity Value	EV/EBITDA
(+) Cash & Cash Equivalents	180.50
(-) Total Debt	-1701.30
(-) Preferred Stock	0.00
(-) Minority Interest	0.00
75th Percentile	17641.64
Median	**11270.42**
25th Percentile	9918.08

Implied Equity Value	EV/Revenue
(+) Cash & Cash Equivalents	180.50
(-) Total Debt	-1701.30
(-) Preferred Stock	0.00
(-) Minority Interest	0.00
75th Percentile	8277.09
Median	**4673.37**
25th Percentile	4059.01

Combined Implied Price	
75th Percentile	229.45
Median	**141.15**
25th Percentile	123.73

Implied Price	EV/EBITDA
Shares Outstanding	56.48
75th Percentile	312.35
Median	**199.55**
25th Percentile	175.60

Implied Price	EV/Revenue
Shares Outstanding	56.48
75th Percentile	146.55
Median	**82.74**
25th Percentile	71.87

Implied Upside	
Price at close	77.49
Median	**82.15%**

Source(s):

Appendix #10

Deckers Projected Income Statement

Deckers Income Statement	Historicals						Projected			
(In $ Millions USD)	**2020A**	**2021A**	**2022A**	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**
Revenue By Product Segments:										
Other brands wholesale	67.2	69.4	60.6	285.2	241.9	221.2	194.92	175.00	155.68	139.13
% Growth	-	3.28%	-12.69%	370.77%	-15.17%	-8.57%	-11.9%	-10.2%	-11.0%	-10.6%
UGG brand wholesale	893.0	871.8	1,088.1	1,929.2	2,239.1	2,531.4	2,784.49	3,062.93	3,369.23	3,706.15
% Growth	-	-2.37%	24.81%	77.30%	16.06%	13.05%	10.0%	10.0%	10.0%	10.0%
HOKA brand wholesale	277.1	405.2	628.7	1,412.9	1,806.7	2,233.1	2,568.1	2,953.3	3,248.6	3,573.4
% Growth	-	46.2%	55.1%	124.7%	27.9%	23.6%	15.0%	15.0%	10.0%	10.0%
Teva brand wholesale	119.1	105.9	129.1	0	0	0	0	0	0	0
% Growth	-	-11.1%	21.9%	-100.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Direct-To-Consumer	119.1	105.9	129.1	0	0	0	0.00	0.00	0.00	0.00
% Growth	-	-11.1%	21.9%	-100.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Sanuk Brand	39.5	26.6	30.3	0	0	0	0	0	0	0
% Growth	-	-32.7%	14.1%	-100.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total Revenue	**2,132.7**	**2,545.6**	**3,150.3**	**3,627.3**	**4,287.8**	**4,985.6**	**5,547.5**	**6,191.2**	**6,773.5**	**7,418.7**
Cost of Goods Sold	1,067.9	1,212.8	1,587.2	1,851.9	1,961.9	2,171.7	2,644.99	2,951.92	3,229.55	3,537.19
As a % of Total Revenue		*47.6%*	*50.4%*	*51.1%*	*45.8%*	*43.6%*	*47.7%*	*47.7%*	*47.7%*	*47.7%*
Gross Profit	**1,064.8**	**1,332.8**	**1,563.1**	**1,775.4**	**2,325.8**	**2,813.9**	**2,902.5**	**3,239.3**	**3,543.9**	**3,881.5**
As a % of Total Revenue	*49.9%*	*52.4%*	*49.6%*	*48.9%*	*54.2%*	*56.4%*	*52.3%*	*52.3%*	*52.3%*	*52.3%*
Other Operating Expenses:										
Selling General & Admin Exp.	**727.0**	**811.3**	**995.8**	**1,121.3**	**1,389.1**	**1,630.5**	1,805.77	2,020.08	2,207.47	2,419.17
As a % of Total Revenue	*34.1%*	*31.9%*	*31.6%*	*30.9%*	*32.4%*	*32.7%*	*32.6%*	*32.6%*	*32.6%*	*32.6%*
Research & Development Exp	27.6	28.6	33.3	38.7	49.2	56.7	57.3	58.0	58.7	59.3
As a % of Total Revenue	0.01	0.01	0.01	0.01	0.01	0.01	0.01	0.01	0.01	0.01
Total Other Operating Expenses	**754.5**	**839.9**	**1,029.1**	**1,160.0**	**1,438.3**	**1,687.2**	**1,863.1**	**2,078.1**	**2,266.1**	**2,478.5**
As a % of Total Revenue	*35.4%*	*33.0%*	*32.7%*	*32.0%*	*33.5%*	*33.8%*	*33.6%*	*33.6%*	*33.5%*	*33.4%*
EBIT	**310.3**	**492.9**	**534.0**	**615.4**	**887.5**	**1,126.7**	**1,039.4**	**1,161.2**	**1,277.8**	**1,403.0**
As a % of Total Revenue	*14.5%*	*19.4%*	*16.9%*	*17.0%*	*20.7%*	*22.6%*	*18.7%*	*18.8%*	*18.9%*	*18.9%*
Non-Operating Interest Income	*2.6*	*1.9*	*15.6*	*52.2*	*68.4*	*69.8*	*73.3*	*77.6*	*81.2*	*84.9*
Pre-Tax Income	**312.9**	**494.8**	**549.6**	**667.6**	**955.9**	**1,196.5**	**1,112.7**	**1,238.8**	**1,359.0**	**1,487.9**
As a % of Total Revenue	*14.7%*	*19.4%*	*17.4%*	*18.4%*	*22.3%*	*24.0%*	*20.1%*	*20.0%*	*20.1%*	*20.1%*
Income Tax Expense	**64.7**	**118.9**	**112.7**	**149.3**	**219.4**	**277.2**	289.1	301.4	389.1	558.9
Net Income	**248.1**	**375.9**	**436.9**	**518.3**	**736.5**	**919.3**	**823.6**	**937.4**	**969.9**	**929.0**

Source(s):

Appendix #11

Crocs Projected Income Statement

Deckers Income Statement	Historicals					Projected				
(In $ Millions USD)	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
Total Revenue	**1,386.0**	**2,313.4**	**3,555.0**	**3,962.3**	**4,102.1**	**4,307.2**	**4,501.0**	**4,681.1**	**4,844.9**	**5,581.0**
Cost Of Goods Sold	636.0	893.2	1,694.7	1,752.3	1,691.9	1,750.5	2,113.0	2,189.0	2,296.4	2,731.2
% of Total Revenue	*46%*	*39%*	*48%*	*44%*	*41%*	*41%*	*47%*	*47%*	*47%*	*49%*
Gross Profit	**750.0**	**1,420.2**	**1,860.3**	**2,210.0**	**2,410.2**	**2,556.7**	**2,388.0**	**2,492.0**	**2,548.5**	**2,849.8**
Selling General & Admin Exp.	494.6	715.9	929.2	1,109.7	1,290.9	1,436.2	1,572.7	1,743.7	1,898.1	2,295.1
% of Total Revenue	*36%*	*31%*	*26%*	*28%*	*31%*	*33%*	*35%*	*37%*	*39%*	*41%*
R&D and D&A	-	-	18.70	21.40	25.60	26.64	25.98	27.62	29.19	33.32
% of Total Revenue	*0%*	*0%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*
Operating Income	**255.4**	**704.3**	**912.4**	**1,078.9**	**1,093.7**	**1,093.9**	**789.4**	**720.7**	**621.2**	**521.4**
Net Interest Exp.	6.5	20.9	135.1	158.9	105.8	101.3	105.9	110.1	87.2	94.9
% of Total Revenue	*0%*	*1%*	*4%*	*4%*	*3%*	*2%*	*2%*	*2%*	*2%*	*2%*
Other Unusual Items	22.2	(1.4)	31.9	11.2	30.7	29.9	31.2	32.5	33.6	38.7
% of Total Revenue	*2%*	*0%*	*1%*	*0%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*
Pre-tax Income	**226.7**	**684.8**	**745.4**	**908.8**	**957.2**	**962.7**	**652.3**	**578.1**	**500.3**	**387.8**
Income Tax Expense	(105.9)	(61.8)	178.3	83.7	(39.5)	202.17	136.98	121.40	105.07	81.45
% of Pre-tax income	*-47%*	*-9%*	*24%*	*9%*	*-4%*	*21%*	*21%*	*21%*	*21%*	*21%*
Net Income to Company	**332.6**	**746.6**	**567.1**	**825.1**	**996.7**	**760.5**	**515.3**	**456.7**	**395.3**	**306.4**

Appendix #12

Pro Forma Income Statement

Pro Forma Income Statement	2026E	2027E	2028E	2029E
Total Revenue	9,854.7	10,692.2	11,454.6	12,263.6
Add: Revenue Synergies	197.1	213.8	229.1	245.3
Total Revenue	**10,051.8**	**10,906.1**	**11,683.7**	**12,508.9**
Cost of Goods Sold	4,395.5	5,064.9	5,418.6	5,833.6
Less: Cost of Goods Sold Synergies	-87.9	-101.3	-108.4	-116.7
Gross Profit	**5,744.2**	**5,942.4**	**6,373.4**	**6,792.0**
Gross Margin	*57.1%*	*54.5%*	*54.5%*	*54.3%*
Selling General & Admin Expenses	3,242.0	3,592.7	3,951.2	4,317.3
Less: SG&A Synergies	-64.8	-71.9	-79.0	-86.3
R&D and D&A	84.0	84.0	86.3	88.5
Amort. of Goodwill and Intangibles	29.9	31.2	32.5	33.6
Other Operating Expense/(Income)	-	-	-	-
EBIT	**2,453.21**	**2,306.36**	**2,382.49**	**2,438.86**
EBIT Margin	*24.4%*	*21.1%*	*20.4%*	*19.5%*
Interest Expense	121.3	125.9	130.1	107.2
Interest and Investment Income	-	-	-	-
Additional Interest on new debt	32.0	36.8	42.4	48.7
Forgone Intrerest on Cash	56.8	65.3	75.1	86.3
Income/(Loss) from Affiliates	0	0	0	0
Currency Exchange Gains (Loss)	0	0	0	0
Other Non-Operating Inc. (Exp.)	73.3	77.6	81.2	84.9
Non-Recurring Items	212.5	289.4	353.2	401.3
Pre-Tax Income	**2,103.85**	**1,866.56**	**1,862.94**	**1,880.20**
Effective Tax Rate %	22.0%	22.0%	22.0%	22.0%
Income Tax Expense	462.8	410.6	409.8	413.6
Net Income	**1,641.00**	**1,455.91**	**1,453.09**	**1,466.56**
Diluted Total Shares Outstanding	161.14	161.14	161.14	161.14
Combined EPS	10.18	9.04	9.02	9.10
Accretion/Dilution	56%	38%	38%	39%

Appendix #13
Merger Model

Synergy Assumptions	2026	2027	2028	2029
Revenue Synergies	2.00%	2.00%	2.00%	2.00%
COGS Synergies	2.00%	2.00%	2.00%	2.00%
SG&A Synergies	2.00%	2.00%	2.00%	2.00%

Transaction Assumptions	
Per Share Purcahse Price:	$ 104.61
% Cash:	25.0%
% Debt:	50.0%
% Stock:	25.0%
Equity Purchase Price:	5711.79
Cash Used:	1427.95
Debt Issued:	2855.89
Stock Issued	1427.95
Additional Shares Issued:	12.84
Interest Paid on New Debt	32.03

Appendix #14
Merger Model

Buyer's Financial Profile	
Share price:	111.23
Shares Outstanding:	148.30
Equity Value:	16495.41
Enterprise Value:	15091.90
Tax Rate:	22.0%
EPS	6.53

Seller's Financial Profile	
Share price:	77.49
Shares Outstanding:	54.60
Diluted Equity Value:	4230.95
Enterprise Value:	5805.30
Tax Rate:	21.0%

Purchase Price		
Share Price as of Sep 25 ($)		77.49
Shares Outstanding ($ millions)		54.60
Market Capitalization		4230.95
Purchase Premium		35%
Purchase Equity Value		5711.79
Implied share price from purchase	$	104.61
Our intrinsic value calculation	$	86.31
Cash used		1427.9
Debt Issued		2855.89
Stock Issued		1427.9
Total Funding		5711.79

Goodwill	
Purchase Price	5,711.79
Book Value Assets	4450.6
Book Value Liabilities	3029.4
Goodwill:	4,290.59

Appendix #15

Merger Model

Accretion / Dilution Calculation	
Decker's Share Outstanding Pre-Acquisition	148.3
Stock Issued for Funding	1427.95
Current Share Price	111.23
Additional Shares	12.84
Total Shares Outstanding	161.14
FY25 Combined Net Income	1641.0
Combined EPS	10.18
Deckers standalone EPS	6.53
Accretion / Dilution	0.56

Uses	
Equity Purchase Price	5597.6
Refinancing Equity	0
Transaction Fees (2%)	114.2
Total Funding	5711.79

Foregone Interest on Cash	Units	FY2025
Interest Income	*mm*	68.40
Cash and Cash Equivalents	*mm*	1,720
Interest Rate on Cash	%	3.98%
Total Cash Used		1427.9
Foregone Interest on Cash	*mm*	56.8

Interest Paid on New Debt	Units	FY2025
Total Interest Expense	*mm*	3.5
Average Debt Outstanding	*mm*	312.1
Interest Rate on New Debt	%	1.12%
Interest Paid on New Debt	*mm*	32.0